

But the incumbents are responding. In response to Swiggy's Toing and 99 Store, Zomato has lowered the minimum order value for free delivery for its Gold members from ₹199 to ₹99. Recently, it introduced a separate section on its app, "Under ₹250." Goyal has said that Zomato could launch a separate app when it becomes clear that it is the right long-term approach for targeting budget-conscious customers.

The companies are also introducing affordable formats and loyalty programmes. In September, magicpin rolled out 'Inner Circle,' a corporate and student rewards initiative to make everyday consumption more affordable. With food delivery price points starting at ₹49, ₹69, and ₹99, the programme, says Sharma, offers exclusive discounts and has seen strong traction—crossing 150,000 enrolments within a month and expanding across 3,000+ colleges and 500+ corporate offices in key metros, including Delhi-NCR, Bengaluru, Hyderabad, Mumbai, Pune, and Kolkata.

BEYOND METROS

While the current battle is happening in the top cities, the industry's long-term gaze is shifting. Aakash Agrawal, Head of Digital and New Age business at Anand Rathi Investment Banking, says, "The real growth will not come from the top eight urban cities. Consumption data shows Tier II and III areas are growing faster. Infrastructure in these regions has improved over the last two years." Smaller cities offer attractive margins due to lower operating costs.

There is immense headroom to grow. An average Indian household in the top 20% income bracket orders food just six-eight times a month, a fraction of the 20-25 times



"A large value segment in India's food delivery space is underserved. Many local merchants lack visibility on big aggregators, while prices there are often out of reach for mass consumers"

ANSHOO SHARMA
CO-FOUNDER AND CEO,
MAGICPIN



"We are tapping into the Rapido ecosystem to optimise costs and build a scalable, sustainable model that addresses the slowing food delivery growth in India"

ARAVID SANKA
CO-FOUNDER, RAPIDO
AND OWNLY

a month in markets such as China. Agrawal predicts an easy jump to 12-15 orders per month, a trend already hinted at by Swiggy's Bolt—a quick delivery model—which now accounts for 10-12% of its orders.

Innovation, says Rohit Kapoor, CEO of Swiggy Food Marketplace, is far from over. The next wave will be about making the experience "more contextual and seamless," from smarter packaging and faster formats to healthier categories and hyperlocal integrations.

To what extent will the new competitors make an impact? Agrawal says they will obviously gain some market share. "There's always low-hanging fruit—customers who will try a new service. However, the infrastructure and scale that the two major incumbents (Zomato and Swiggy) have created are difficult to match," he says.

NEW OPPORTUNITY

There is a clear consumer focus on affordability. This is an opportunity for disruption. There is a substantial, unmet demand for unlocking regular, individual meal occasions—like a weekday lunch or a single snack—at lower price points of ₹150-200. While serving this segment profitably is a major challenge due to fixed delivery costs, the sheer volume of unmet demand is creating conditions for new, innovative business models to emerge and cater to the value-conscious consumer base.

The Great Indian Food Delivery Story has entered its second act. The first was about building scale and seeing who survived. The second is a more nuanced battle for the hearts, minds, and wallets of the value-conscious consumer. The plates are being reset, and the menu is changing for good. **BT**

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